Session 4.4: Final Review: Choosing the Right Strategy



StudySpace: a small loss, and a big rival on the way

StudySpace is Riya's app for booking study rooms in libraries and cafes. UniLife, a campus super-app that 15,000 students open every day, will add room booking within six months (envelopment, Session 3.1).

STUDYSPACE (ONE MONTH)	VALUE
Students who use the app	**6,000**
Study rooms (40 in libraries, 40 in cafes)	**80**
Cafe room bookings / fee per booking	**6,000 / $2**
Revenue (cafe fees $12,000 + library contract $8,000)	**$20,000**
Monthly costs / monthly loss	**$22,000 / $2,000**

Three plans from three strategies. Which one first?

How do we choose among fourteen strategies?

Understand your **position and problem first**, then use the strategy that fits. Some strategies help a company **build a platform and win its first users** (1.1, 1.2, 1.3), or decide **when to race** (1.4). Some help a company **find out what customers want** (2.1). Some decide **who pays and how much** (2.2, 2.3). Some help a company **attack or defend** (3.1, 3.2, 3.3). Some help a company **grow and keep customers** (3.4, 4.1, 4.2, 4.3). No strategy is good everywhere.

Check the key condition with evidence, compare options with the same numbers, use one strategy first, and plan the next. This is also the method for Part C of your final project.

Position, diagnosis, key condition

Position

Where a company stands against its rivals: leader or newcomer, attacker or target.

Example: StudySpace is the leader in room booking and the target of UniLife.

Diagnosis

Naming the real problem before choosing a solution (Session 2.4).

Example: "We have too few cafe rooms to stay better than a rival," not "we need ads."

Key condition

Something that must be true for a strategy to work.

Example: a flywheel needs each arrow of the loop to be real.

Time to result and defense

Time to result

How long a plan takes before it changes the numbers.

Example: new cafe rooms bring more bookings only after about three months.

Defense

A plan that makes it harder for a rival to take your customers.

Example: having many more rooms than UniLife can add quickly.

Module 1 strategies

STRATEGY (SESSION)	USE IT WHEN	KEY CONDITION	MAIN NUMBER
Platform Model (1.1)	Many people own something useful that sits idle	Strangers can trust each other; easy match	Take rate, cost to grow
Network Effect (1.2)	Users get value from other users	One small group can reach critical mass	Density, weekly active rate
Two-Sided Market (1.3)	You connect two groups who need each other	You can win the harder side first	Balance, match rate
Winner-Takes-All (1.4)	A rival races you for the same market	The market can tip	Market share, multi-homing

Module 2 and Module 3 strategies

STRATEGY (SESSION)	USE IT WHEN	KEY CONDITION	MAIN NUMBER
Data Feedback Loop (2.1)	You do not know what customers really want	Strong signals and permission	Churn or repeat rate
Asymmetric Pricing (2.2)	You connect two groups; who pays?	One side comes for the other	Money side vs. subsidy
Up-Sell and Cross-Sell (2.3)	Many customers spend too little	Higher tier or related product with value	Conversion, attach rate
Platform Envelopment (3.1)	Many users next to another market	High overlap, shared parts	Overlap rate, CAC
Cannibalization (3.2)	A new technology or rival takes customers	New product earns enough over time	Net gain vs. baseline

Module 3 and Module 4 strategies

STRATEGY (SESSION)	USE IT WHEN	KEY CONDITION	MAIN NUMBER
Disruption (3.3)	A newcomer; the leader ignores some customers	Simple is good enough; leader will not copy	Non-consumers, profit test
Open Ecosystem (3.4)	Customers want more than you can build	Partners can earn; you keep the core	Partner earnings vs. cost
Flywheel (4.1)	Growth in one part improves another	Each arrow of the loop is real	Loop check, retention
Ecosystem Lock-In (4.2)	Several products better together	Customers stay for value, not traps	Customer lifetime value
Super-App (4.3)	Your app is used very often	Busy front door; each service pays	Contribution per service

Rule 1: Know your position first

Are you the leader or a newcomer? Are you attacking or being attacked? The same strategy can be right for one position and wrong for another.



DO

Example

StudySpace is the leader in room booking and the target of UniLife. Its first need is a defense UniLife cannot copy quickly.

AVOID

Common mistake

A newcomer using a leader's strategy, such as fighting a strong leader head-on with discounts (Uber in China).

Rule 2: Check the key condition of the strategy with evidence

Every strategy works only when its key condition in the strategy map is true.



DO

Example

The flywheel plan needs cafes to join when they see more students. Twelve cafes have already asked to be listed.

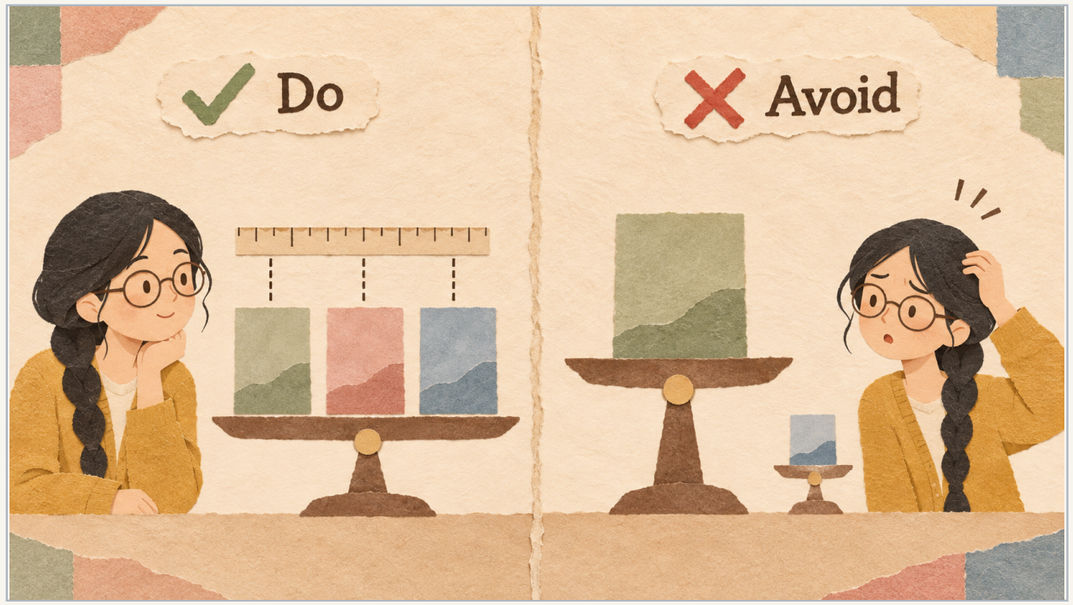
AVOID

Common mistake

Choosing a strategy because a famous company used it. Copying Apple's lock-in without products that are truly better together fails.

Rule 3: Compare options with the same numbers over the same time

For each option, write the result over the same period, the time to result, the main risk, and whether it helps against the rival.



DO

Example

Riya compares all three plans over the same six months, including what each costs at the start.

AVOID

Common mistake

Comparing one option's best case with another's worst case, or one option's first month with another's sixth month.

Rule 4: Choose one strategy now, plan the next, and watch your rivals

Start with the strategy that fixes the most urgent problem. Write which strategy comes next and what rival move would change your plan.



DO

Example

First add cafe rooms (flywheel) to stay far better than UniLife; next, launch StudySpace Plus (lock-in) once there are enough rooms.

AVOID

Common mistake

Starting all three plans at once with a small team, so none is done well and nobody can tell which one worked.

Amazon used strategies in order

What happened

Amazon first built a flywheel of low prices and choice in its own store (4.1). In 2000 it opened its store to outside sellers, an open ecosystem that added choice without buying stock (3.4). In 2005 it launched Prime, so customers bought more often from Amazon (lock-in, 4.2). In 2006 it launched Amazon Web Services, selling its computing skills to other companies (envelopment of a nearby market, 3.1).

Why it is good

- Each strategy built on what the last one created. **(Rule 4)**
- Each key condition was true when Amazon used it. **(Rule 2)**
- Amazon knew its position: a leader that keeps customers by being better. **(Rule 1)**

GOOD EXAMPLE 2

Netflix changed strategy when its position changed

What happened

As a newcomer, Netflix used disruption: DVDs by mail with no late fees, which Blockbuster did not want to copy (3.3). Once it led DVD rentals, it cannibalized its own DVD business with streaming, starting in 2007 (3.2), even though its 2011 move (Qwikster) was badly handled.

Why it is good

- Disruption as a newcomer, cannibalization as a leader. **(Rule 1)**
- One main strategy at a time, with the next one planned. **(Rule 4)**
- Compared streaming with a future without DVDs. **(Rule 3)**

Uber in China

What happened

Uber entered China and fought the local leader, Didi, head-on with large discounts for riders and bonuses for drivers. In 2016, Uber's CEO said it was losing more than $1 billion a year in China. In August 2016, Uber sold its China business to Didi in exchange for a share of Didi.

Why it is bad

- A newcomer used a leader's head-on attack. **(Rule 1)**
- Growth did not lower costs while Didi matched every discount. **(Rule 2)**
- Comparing yearly losses with any realistic gain shows the problem. **(Rule 3)**

BAD EXAMPLE 2

Microsoft's Windows Phone

What happened

Microsoft tried to build a third smartphone ecosystem against Apple and Google, and in 2014 bought Nokia's phone business for about $7.2 billion. App makers did not build enough apps, because most customers were already on iPhone or Android. In July 2015, Microsoft wrote down $7.6 billion on the Nokia business and cut 7,800 jobs.

Why it is bad

- Chose an ecosystem strategy without willing partners (app makers). **(Rule 2)**
- Customers were locked in elsewhere: high switching costs (4.2).
- A newcomer in phones acted as if its computer position carried over. **(Rule 1)**

Which rule made the difference?

EXAMPLE	RESULT	THE RULE THAT DECIDED IT
Amazon	**Good**	One strategy at a time, each built on the last (Rule 4)
Netflix	**Good**	The right strategy for each position (Rule 1)
Uber in China	**Bad**	A newcomer fought head-on (Rule 1)
Windows Phone	**Bad**	Ecosystem without willing partners (Rule 2)

Position first, condition second, numbers third, order last.

Tool 1: Position and problem questions

1

Are we the leader or a newcomer?

2

Is a rival attacking us, or are we attacking?

3

What is our most urgent problem, in one sentence with no solution?

4

Which strategy fits, and is its key condition true?

Tool 2: Option comparison table

For each option: result over the same period ($), time to result, main risk, and help against the rival.

EXAMPLE: A BIKE-RENTAL APP	6-MONTH RESULT	TIME	MAIN RISK	AGAINST RIVALS
Lock-in membership	+$4,000	1 month	Few may join	Helps a little
Flywheel: more bike stations	+$9,000	3 months	Stations cost money	Helps a lot

Tool 3: Trade-off and decision rule (from Session 2.1)

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Match the situation to the strategy

Six businesses describe their situation:

- (a) A messaging app with 2 million daily users sees that most of its users also pay bills in a separate app.
- (b) A print shop sees students moving to digital notes from a rival app.
- (c) A new language-learning startup sees that private tutors cost too much for most students.
- (d) A booking platform for salons gets 40 feature requests, and outside developers want to help.
- (e) A campus marketplace finds that more sellers bring more buyers, and more buyers bring more sellers.
- (f) A smartwatch maker also sells a phone and a scale, but they do not share data.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

Business [letter]: Our position is [leader / newcomer; attacker / target / neither].
The best strategy is [strategy (session)], because [its key condition is true: evidence].

WORKED EXAMPLE: A CAMPUS BUS APP

The app is opened 10 times a month and wants to add food delivery.
Our position is leader in campus transport; we are not under attack.
The best strategy is the Super-App Strategy (4.3), because our app is a busy front door.

Which key condition is true?

BUSINESS	STRATEGY	WHY
(a) Messaging app	Envelopment (3.1)	High user overlap with bill paying
(b) Print shop	Cannibalization (3.2)	A rival is already taking customers
(c) Language startup	Disruption (3.3)	A newcomer serving people the leaders price out
(d) Salon platform	Open Ecosystem (3.4)	Too many requests, willing partners
(e) Campus marketplace	Flywheel (4.1)	Each arrow of the loop is real
(f) Smartwatch maker	Ecosystem Lock-In (4.2)	Products could be better together

Diagnose and plan one strategy: FitHub

Scenario

- FitHub: a gym-booking app with **9,000** members at **30** partner gyms.
- A food-delivery super-app with **25,000** daily users has just added gym booking with a **20%** discount.
- Members like FitHub's class reviews and personal workout history.
- **300** members use FitHub's $5-a-month coaching plan.

Your steps

- **Step 1:** Answer the four position and problem questions (Tool 1).
- **Step 2:** Plan with the template on the next slide.

Use the template

TEMPLATE

Position: [leader / newcomer; attacker / target]
Problem: [one sentence, no solution]
Strategy: [one strategy (session)]
Evidence the key condition is met: [what we know]
First action: [one action, tested on a test group]
Measure: [one number and a target]
Next strategy: [which one, and why]

WORKED EXAMPLE: A CAMPUS BOOKSHOP

Position: leader in textbooks; target of a digital rival.
Problem: students move to a rival's e-books; paper sales fall each term.
Strategy: Cannibalization (3.2).
Evidence: 300 students left last term; e-books earn $8 per student.
First action: our own e-book pass for half of our customers.
Measure: share who stay with us; target 70%.
Next strategy: Lock-In (4.2), linking e-books with our note app.

A target of envelopment: defend with value, not a price war

- **Position:** leader in gym booking; target of an envelopment attack (Session 3.1).
- **Strategy:** Ecosystem Lock-In (4.2): members value reviews and history, and 300 already use coaching.
- **First action:** a monthly progress report linking bookings and coaching, tested on half of the members.
- **Measure:** bookings through FitHub next month; target: fewer than 5% move to the super-app.
- **Next:** Flywheel (4.1): more gyms bring more members, and more members bring more gyms.
- Matching the 20% discount is weak: the super-app can pay for discounts longer (Rule 1).

Choose StudySpace's first strategy (next 6 months)

MORE ROOMS

Option A: Flywheel (4.1)

New cafes list free for three months; **$3,000** to help them join. Expect **30** new cafe rooms.

From month 4: **+3,000** bookings a month at **$2**.

SUBSCRIPTION

Option B: Lock-In (4.2)

StudySpace Plus, **$3** a month, for priority booking and statistics. **$4,000** to build.

From month 2: **10%** of 6,000 students subscribe.

PARTNERS

Option C: Open Ecosystem (3.4)

An API for tutoring and printing partners. **$10,000** to build.

From month 5: **$2,500** a month from revenue share.

Calculate before you decide (Tool 2)

- Option A: months 4 to 6 = 3 x 3,000 x $2 = $_____; result = extra revenue - $3,000 = $_____
- Option B: subscribers = 6,000 x 10% = ____; months 2 to 6 = 5 x subscribers x $3 = $_____; result = extra revenue - $4,000 = $_____
- Option C: months 5 and 6 = 2 x $2,500 = $_____; result = extra revenue - $10,000 = $_____
- From month 4, which options cover the $2,000 monthly loss on their own? ____
- Comparison table: 6-month result, time to result, main risk, help against UniLife.

Write a 3-bullet memo to Riya (Tool 3)

TEMPLATE

To: [founder name], [company]
1. Decision and evidence: We should start with [option] because [the rule it follows] and [one number from your calculation]. Next, we will use [second strategy] because [reason].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next three months we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

FitHub: defend with lock-in by value

To: Lena Wu, CEO, FitHub
1. Decision and evidence: We should start with lock-in by value (4.2), because members already value our reviews and history, and 300 coaching members show the services fit together. Next, we will push our flywheel by adding gyms (4.1).
2. Biggest risk and trade-off: The weakest point is that the super-app's 20% discount may win price-sensitive members. We give up those members rather than start a price war we cannot afford.
3. Next step and decision rule: In the next three months we will send monthly progress reports to half of our members and measure bookings. We will change this decision if more than 10% of them move to the super-app.

The flywheel covers the loss and builds a defense

- Option A: $18,000 - $3,000 = **$15,000**; from month 4 it adds $6,000 a month, three times the loss.
- Option B: 600 subscribers; $9,000 - $4,000 = **$5,000**; adds $1,800 a month from month 2, almost covering the loss.
- Option C: $5,000 - $10,000 = **-$5,000** over the first 6 months.
- Only Option A covers the loss on its own from month 4, and it helps most against UniLife: with 110 rooms, StudySpace stays far better than any booking tab UniLife can add quickly (Session 3.1, Rule 3).

What a strong memo looks like

- Usually starts with Option A (Rules 1 and 4), and plans Option B next, when more rooms make priority booking more valuable.
- Names a real risk: cafes may not join, or UniLife may arrive sooner.
- States a clear decision rule.
- Starting with Option B can also be strong if it explains why fast, certain income comes first and when the flywheel will follow.

SUCCESS CHECK

Can you do these three things?

01

Name a company's position and problem before choosing a strategy.

02

Match a situation to the course strategy whose key condition is true.

03

Compare options with the same numbers and choose which strategy comes first and next.

Use the same method in Part C of your final project ("If I Ran This Company").

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